www.tntextbooks.in

Illustration 4

Sundry debtors as per trial balance ` 26,000

Bad debts as per trial balance ` 1,000

Adjustment: Additional bad debts amounted to ` 2,500

Give adjusting entry and show how these appear in the final accounts on 31st March, 2016.

Solution

Adjusting entry

Date	Particulars	L.F.	Debit `	Credit `
2016	Bad debts A/c Dr.		2,500	
March 31	To Sundry debtors A/c			2,500
	(Bad debts written off)			

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Bad debts	1,000				
Add: Additional bad debts	2,500	3,500			

Balance Sheet as on 31st March, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	26,000	
			Less: Additional Bad debts	2,500	23,500

Illustration 5

An abstract of the trial balance as on 31st December, 2016 is as follows:

Particulars	`
Sundry Debtors	20,000
Bad debts	500

Adjustment: Create a provision for bad and doubtful debts @ 5% on sundry debtors. Pass the adjusting entry and show how these items will appear in final accounts.